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b. Risk Tolerance



Even if you are comfortable with taking higher risks, sometimes due to your existing financial commitments like high EMIs or your personal circumstances like unstable income, you might have to take lower risks.

For example, the sole breadwinner in a family with unstable income will have a lower risk tolerance than someone who doesn't have financial dependents.



Sole Breadwinner



People who have a longer investment time horizon have a higher risk tolerance.